



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was less than satisfactory. Most candidates demonstrated insufficient technical knowledge of various strategic models, risk management, the FRICTO framework, and bonds, which hindered candidates' ability to apply the correct models to address the specific case problems. Moreover, candidates demonstrated weak understanding of the technical and computational aspects of bonds, which are fundamental knowledge for the module. Another major concern for this cohort was a lack of analytical skills. Candidates are reminded to apply technical and computational knowledge to solve the problems specified in the case background. Merely copying technical terms from the learning pack or case information without detailed explanation nor integration of the specific case information into the answers should be avoided.

Specific Comments

Question 1 – 15 marks

This question required candidates to evaluate, with an appropriate strategic model, the internal factors of Lucky that may help HKS organise and manage its mega events business successfully in Hong Kong.

Performance on this question was unsatisfactory.

Most candidates used incorrect models to answer this question, and many of the answers were very generic and did not link directly to the given case background. In addition, most candidates did not demonstrate adequate analytical skills. Instead of analysing based on the case background, many candidates copied information directly from the learning pack or case, showing insufficient understanding of strategic model used. Candidates should demonstrate a thorough understanding of the various strategic models that can be used specifically to analyse different situations. As such, merely copying information from the learning pack and case information without showing analytical skills will not result in high marks.



Question 2 – 10 marks

This question required candidates to act as the financial controller of Lucky and write a report to the Board of Directors to evaluate the strategic risks, operational risks, and data security risks associated with establishing a subsidiary to organise and manage a mega events business in Hong Kong.

Performance on this question was unsatisfactory.

Most candidates did not distinguish between strategic risks and operational risks, which were discussed in learning pack. Many candidates failed to correctly identify the relevant risks in the case and instead discussed mitigation actions for the risks incorrectly identified. While some candidates were able to identify the correct risks, they unfortunately categorised them under an incorrect risk category, indicating a lack of understanding of the risks and their applications. Moreover, many candidates appear to have been unfamiliar with the report format. Candidates are advised to study technical knowledge of the risk categories and learn how to apply them to solve business problems instead of relying solely on “common sense” to answer exam questions.

Question 3 – 10 marks

This question required candidates to utilise an appropriate framework to select an appropriate financing strategy that HKS could adopt in Hong Kong.

Performance on this question was unsatisfactory.

Most candidates did not identify and use the FRICTO framework to answer this question. Instead, many candidates simply mentioned various financing alternatives without evaluating them based on the given case background. The case indicated that issuing equity and bonds was not possible, but some candidates still proposed issuing these in their answers, showing a lack of technical knowledge. Additionally, many candidates surprisingly failed to define each item in the FRICTO framework before applying them in their analysis, showing a lack of examination skills. Thus, candidates are advised to study technical knowledge of the FRICTO framework and learn how to apply the model to evaluate financing strategies in different business situations.

Question 4(a) – 8 marks

This question required candidates to calculate the price of corporate bond issued, total interest payments, and the bond carrying value after the total interest payment during the given period.

Performance on this question was unsatisfactory.

Most candidates did not correctly calculate the bond carrying value and the discount rates. Many candidates did not clearly present their calculations and failed to include a discount amortisation table. Moreover, many candidates used financial calculators



to arrive at the final answer without clearly showing their calculation steps, resulting in loss of marks for those steps when the final answer was incorrect. Instead of simply relying on the financial calculator, candidates should show calculation steps clearly and in detail.

Question 4(b) – 5 marks

This question required candidates to calculate the total interest payment, conversion price per share, conversion ratio, and conversion value for the convertible note.

Performance on this question was unsatisfactory.

Most candidates appear to have been unfamiliar with convertible notes and some confused them with corporate bonds. Some candidates used the NPV model to calculate conversion price and conversion value, which was not appropriate. Most candidates did not clearly show calculation steps, reflecting insufficient analytical skills and computation techniques. Candidates are thus advised to study the different types of bonds in the learning pack to improve their technical understanding of bonds that are commonly used for medium- and long-term financing in the business world.

Question 4(c) – 2 marks

This question required candidates to recommend to Lucky, with justification, whether to issue a corporate bond or convertible note based on the case background.

Performance on the question was fair.

Most candidates chose the appropriate financing option with the lower interest payments. However, some candidates were unable to answer this question because they did not complete the calculations in part (a) and (b). Thus, candidates should improve their technical knowledge and analytical skills associated with evaluating various alternatives in different financing situations.

(II) Section B – Essay/Short Questions

General Comments

Overall performance in this section was fair. Candidates demonstrated a limited understanding of the question requirements and often offered generic discussions on relevant topics, failing to adequately address the specific question or apply technical knowledge. Additionally, some candidates failed to clearly demonstrate their calculation steps and exhibited weaknesses in their calculations and computation techniques.



Specific Comments

Question 5(a)(i) – 3 marks

This question required candidates to use the Earnings-Based model to calculate the consideration of the acquisition.

Performance on this question was satisfactory.

Most candidates correctly calculated the net profits and applied the correct formulas for determining value under the Earnings-Based model, as well as calculating consideration based on the valuation. However, some candidates failed to clearly demonstrate their calculation steps and exhibited weaknesses in their calculations and computation techniques.

Question 5(a)(ii) – 5 marks

This question required candidates to use the Dividend Growth model to calculate the consideration of the acquisition.

Performance on this question was satisfactory.

Most candidates applied the correct formula to calculate the value and consideration and correctly calculated the dividend under the Dividend Growth model. However, some candidates demonstrated deficiencies in their calculations and computation techniques.

Question 5(b) – 7 marks

This question required candidates to advise on the limitations of using the Dividend Growth model in this case.

Performance on this question was poor.

Most candidates did not correctly identify key assumptions, such as the dividend payout ratio and the projected growth in profits, as well as the fact that these metrics can change at the company's discretion. Candidates also failed to recognise that cost of equity is influenced by the company's capital structure and gearing ratio, and they were unable to adequately address the factors that could impact the company's profits and capital expenditure. Few candidates effectively identified the specific requirements of the question, with many merely copying irrelevant materials from the learning packs, resulting in overly generic responses that lacked a meaningful connection to the given case.



Question 6(a) – 5 marks

This question required candidates to calculate the shareholding in Parrot of the Tang family and the Chan family if the convertible bond is fully converted after one year.

Performance on this question was fair.

Some candidates did not apply the correct formula for calculating the consideration financed by the convertible bond and the holding percentage before and after exercising the conversion. Many candidates exhibited a lack of analytical skills and demonstrated weak calculation techniques, failing to clearly present their calculation steps.

Question 6(b) – 5 marks

This question required candidates to advise on the respective legal framework which governs mergers and acquisitions for Hong Kong and Singapore.

Performance on this question was fair.

Most candidates appropriately identified and elaborated on one of the laws related to competition, anti-trust, securities, or corporate laws at both state and provincial levels. However, many candidates merely copied material from the learning pack which was not relevant to the question. As a result, their answers were overly generic and lacked a connection to the question background, indicating a limited understanding of the topic being tested.

Question 6(c) – 9 marks

This question required candidates to evaluate a potential acquisition using the six assessment factors under the reverse takeover ("RTO") principle of the Listing Rules.

Performance on this question was fair.

Most candidates appropriately identified the six assessment factors and evaluated the acquisition. However, many candidates demonstrated a limited understanding of the topic, with responses that were overly generic and included material from the learning pack that was not required by the question. This reflects a deficiency in analytical skills.

Question 7(a) – 10 marks

This question required candidates to justify if the given initiatives in the case can be considered greenwashing.

Performance on this question was poor.

Most candidates failed to recognise that disclosing only the best-performing store without including all stores is misleading. They also did not acknowledge the



complexity and cost involved in attaining ISO standards for food processing centres and chain stores, nor did they identify the selective disclosure related to excluding food processing centres and chain stores while failing to provide relevant advice. Few candidates demonstrated proper analytical skills, while many relied on copying material from the learning pack that was irrelevant to the question, resulting in overly generic responses.

Question 7(b) – 6 marks

This question required candidates to advise an HKICPA member on the respective ethical issues and actions on the potential greenwashing reporting.

Performance on this question was satisfactory.

Most candidates appropriately highlighted the fact that HKICPA members must uphold integrity and accuracy in ESG disclosures while avoiding greenwashing and misleading reporting, in accordance with the Fundamental Principles and Conceptual Framework outlined in the HKICPA Code of Ethics for Professional Accountants in Business. However, many candidates relied on copying material from the learning pack that was not relevant to the question, resulting in generic responses that lacked a connection to the given case or question background.

(III) Conclusion and Recommendation

Overall, candidate performance was unsatisfactory. Candidates are thus advised to study and understand technical knowledge and computation methods, as well as learn how to apply these skills to solve business problems in different situations. Candidates should improve their skills related to computations. Candidates are encouraged to review and practice previous examination questions and answers to further polish and sharpen their analytical skills to solve problems in examinations.

Furthermore, candidates should improve their English spelling and grammar, as well as learn how to present clear calculation steps and results, which are essential for achieving high marks. It is recommended that candidates strengthen their ability to interpret question requirements and provide more precise discussions that adequately address the specific requirements of each question.